

WORKING PAPER · RESULTS SUBJECT TO REVISION

Product Market Competition and Corporate Tax Avoidance

Evidence from U.S. public firms · 2000-2024

Baseline finding

In the fully specified model with year and industry fixed effects, the HHI coefficient is positive (0.034, $p < 0.05$). Interpreting a higher HHI as lower product-market competition, the working evidence suggests that firms in more concentrated industries exhibit greater tax avoidance measured by book-tax differences.

Research design

SAMPLE	35,338 firm-year observations in the reported baseline regressions
KEY MEASURES	HHI for industry concentration; BTD/Assets for tax avoidance
METHODS	Data cleaning, variable construction, descriptive analysis, multivariate regression and fixed effects in Stata
NEXT STEPS	Alternative specifications, sample adjustments and additional robustness tests

Senior Thesis:

Does product market competition affect corporate tax avoidance policy? Evidence from U.S. firms

Abstract

The purpose of this study is to analyze the influence of product market competition on tax avoidance in corporations. The samples of the study are publicly traded U.S. firms, excluding those in the finance and utility industries. We find that firms located in the least competitive industries (with a high Herfindahl-Hirschman Index) are more likely to engage in aggressive tax avoidance. The relationship between the HHI and avoidance of taxes is greatest, for those firms, in inordinate levels of profitability and a high concentration of intangible assets. It is also the case that competitive conditions within the market tend to have a muted influence on tax circumvention in firms that have high debt and high liquidity. The findings and the evidence allow external stakeholders to better comprehend the tax contests that arise from competition in product markets.

Keywords: product market competition, tax avoidance, U.S. firms.

Base-line Regression Model Table

Explanatory variables	Dependent Variable: <i>BTD_AT</i>		
	(1)	(2)	(3)
<i>HHI</i>	-0.061*** (-7.06)	-0.01 (-1.01)	0.034** -2.09
<i>BIG4 (=1)</i>		-0.008*** (-5.15)	-0.007*** (-4.48)
<i>LOG_ASSETS</i>		-0.004*** (-11.77)	-0.004*** (-11.22)
<i>LEVERAGE</i>		0.023*** -8.34	0.023*** -8.41
<i>ROA</i>		0.465*** -36.31	0.474*** -38.5
<i>SALES_GROWTH</i>		0.006*** -3.08	0.005*** -2.59
<i>PPE_ASSETS</i>		0.020*** -5.11	0.019*** -4.12
<i>INTANG_ASSETS</i>		0.011*** -3.4	0.008** -2.33
<i>R&D_SALES</i>		0.104*** -8.09	0.065*** -4.81
<i>SG&A/SALES</i>		-0.021*** (-3.89)	-0.007 (-1.15)
<i>CASH_ASSETS</i>		0.012** -2.57	0.009** -2
Observations	35338	35338	35338
Adjusted R ²	0.004	0.349	0.366
Year fixed effects	No	Yes	Yes
Industry fixed effects	No	No	Yes